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(Company's Full Name)

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(Business Address: No. Street/City/Province)

ELISAIRE T. LACSON

Contact Person

(02) 8396-5270

Company Telephone Number

September 30, 2025

1	2
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Month

3	1
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Day

Fiscal Year

SEC Form 17-Q

FORM TYPE

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Month

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Day

Annual Meeting

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Secondary License Type, If Applicable

C	F	D
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Dept. Requiring this Doc.

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Amended Articles Number/Section

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Total No. of Stockholders

Total Amount of Borrowings

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Domestic

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Foreign

To be accomplished by SEC Personnel concerned

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File Number

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SEC REG. NO. A199908874

**DFNN INC.
(Consolidated 3rd Quarter)**

Office Address:

**L2-L5 14TH Floor Philippine Stock Exchange Tower
5TH Avenue, corner 28TH Street, Bonifacio Global City
Taguig City 1634**

Telephone No.: (02) 8396-5270

Fiscal Year Ending: December 31, 2025

SEC FORM 17-Q

Active Secondary License Type and File Number: None

November 14, 2025

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

1. For the quarterly period ended September 30, 2025

2. Commission identification number A199908874

3. BIR Tax Identification No. 202-955-796-000

4. Exact name of registrant as specified in its charter

DFNN INC.

5. Province, country or other jurisdiction of incorporation or organization

Manila, Philippines

6. Industry Classification Code: (SEC Use Only)

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7. Address of registrant's principal office
Postal Code 1634

L2-L5 14TH Floor Philippine Stock Exchange Tower
5TH Avenue corner 28TH Street
Bonifacio Global City, Taguig
Metro Manila, Philippines 1634

8. Registrant's telephone number, including area code

(02) 8396-5270

9. Former name, former address and former fiscal year, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
<u>Common Shares, PhP 1.00 par value</u>	<u>425,766,892</u>

11. Are any or all of the securities listed on the Philippine Stock Exchange?

Yes ☒ No ☐

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 11 of the Revised Securities Act (RSA) and RSA Rule 11(a)-1 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past 90 days.

Yes ☒ No ☐

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

See attached Financial Reports

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion should be read in conjunction with the company's consolidated financial statements. Such consolidated financial statements have been prepared in conformity with accounting principles generally accepted in the Philippines ("Philippine GAAP").

DFNN continues to expand its presence in provincial markets through the rollout of LottoMatik®, strengthening its position as a leading technology-driven lottery solutions provider. In the land-based gaming segment, subsidiary IEST's InstaWin® platform remains a key contributor, enhancing user engagement through expanded content offerings, a growing network of sites, and localizing gaming experiences to sustain user engagement and loyalty.

Beyond gaming, the Company is actively investing in digital technologies that support long-term growth, including AI solutions, biometric systems for transportation hubs, and managed IT services. These initiatives are designed to diversify revenue streams and position DFNN at the forefront of digital infrastructure and security solutions.

Revenue for the nine-month period decreased compared to the previous year, primarily due to lower commission income from InPlay®. The decline followed after major e-wallet providers removed payment links to online gaming platforms. Management is actively pursuing strategic partnerships and operational efficiencies to stabilize this segment and restore sustainable revenue growth.

Despite lower revenue, the Group narrowed its EBITDA loss by 16.8 percent, reflecting disciplined cost management and streamlined operational structures. Total costs and expenses fell due to reductions in software development and maintenance fees, lower travel and logistics expenses, and normalized personnel costs following last year's management programs. These measures helped offset the impact of reduced revenue and improved operational resilience.

The Company is also in the process of securing regulatory approval to increase its authorized capital stock, which will support additional subscriptions and enable a debt-to-equity conversion to reduce the accumulated deficit. The planned capital infusion and financial exercises is expected to lower interest and penalty expenses and strengthen the Company's financial position. These actions together with expected long term lead time projects due within the year should affect the group in a positive financial manner.

Nine Months ended September 30

2025 vs. 2024

Revenue for the nine months ended September 30, 2025 amounted to ₱205.9 million, a decrease of ₱267.1 million or 56.5% compared to the same period last year with recorded total revenue of ₱473.0 million.

The Group posted loss before interest, taxes, depreciation and amortization of ₱248.1 million versus a loss before interest, taxes, depreciation and amortization of ₱298.1 million for the same period last year, a decrease of ₱50.0 million from the same period last year.

Consolidated Results of Operation

(In ₱ Million)	For the 9 Months Ended		Fav/(Unfav) Variance	%
	Sept 30			
	2025	2024		
Revenue	205.9	473.0	(267.1)	(56.5%)
Cost and expenses	463.3	783.9	320.5	40.9%
Depreciation and amortization	21.0	19.9	1.1	5.5%
Income (loss) from operations	(278.5)	(330.8)	52.3	15.8%
Other income (charges)	(108.8)	(91.1)	(16.7)	(18.1%)
Provision for (benefit from) income tax	(2.6)	0.6	3.2	533.3%
Net Income (Loss)	(384.7)	(423.5)	38.8	9.2%
EBITDA/(Loss)	(248.1)	(298.1)	50.0	16.8%

Material Changes for Revenue/Other Revenue

(3rd Quarter 2025 vs. 2024)

Total revenue during the nine months of 2025 decreased by 56.5% compared to the same period of 2024 mainly due to the increase in commission income.

- **Commission Income.** The revenue from share-based income generated from licensed gaming operations for the nine months ended September 30, 2025 decreased by 72.6%. Total revenue in this category amounted to ₱72.5 million for the nine-month period ended September 30, 2025 compared to ₱264.8 million for the same period in 2024. The decrease is due to delinking of online gaming platform from the e-wallet providers.
- **Service Fee Income.** Revenue generated from the development and maintenance of software solutions during the nine-month period ended September 30, 2025 amounted to ₱82.3 million, a decrease of ₱113.8 million or 58.0% compared to the same period last year.
- **Sale of Goods.** Revenue generated from the contract between PCSO for Lottomatik amounted to ₱35.7 for period ended September 30, 2025.

Material Changes for Costs and Expenses

(3rd Quarter 2025 vs. 2024)

For the nine-month period ended September 30, 2025 the DFNN Group had consolidated cost and expenses in the amount of ₱463.3 million, a decrease of ₱320.55 million or 40.9% compared to the same period last year.

- **Services fees and other fees.** Service fees for the nine months ended September 30, 2025 amounted to ₱139.1 million which showed a decrease of ₱126.8 million or 47.7% compared to similar period last year. This is attributable to the decrease in costs associated with the software development and maintenance of software solutions and software license fees.
- **Travels, transportation and logistics costs.** The decrease is attributable to the decrease in local and foreign transportation and business related travel expenses.
- **Personnel cost.** Compared to similar period last year, salaries and other personnel costs showed a decrease of ₱14.2 million due mainly to the management training incurred in previous year, whereas no similar expense were incurred this year.

Key Performance Indicators:

(In P Million)	September 30, 2025	September 30, 2024
Current Assets	824.4	862.0
Total Assets	1,586.8	1,762.3
Current Liabilities	1,917.4	1,570.7
Total Liabilities	2,216.3	1,858.6
Total Equity	(629.5)	(96.2)

Financial Ratios:		30-Sept-25	30-Sept-24
Operating Income Margin	Operating Income / Revenue	(135.3%)	(69.9%)
Current Ratio	Current Assets / Current Liabilities	0.4	0.5
Current Assets to Total Assets	Current Assets / Total Assets	52.0%	48.9%
Debt to Equity Ratio	Total Liabilities / Total Equity	(3.5)	(19.3)
Asset to Equity Ratio	Total Assets / Total Equity	(2.5)	(18.3)
Return on Total Assets	EBIT / Total Assets	(17.0%)	(18.0%)
Return on Total Equity	Net Income / Total Equity	61.1%	440.1%
Interest Rate Coverage Ratio	EBIT / Interest Expense	(2.3)	(3.0)

Financial Condition

As of September 30, 2025, DFNN's Total Assets stood at approximately ₱1.6 billion. DFNN had no significant long-term debt. Stockholders' Equity (Deficit) amounted to (₱629.5) million.

The Company's cash position remained liquid throughout the nine-month period. DFNN had consolidated cash and cash equivalents amounting to ₱62.1 million as of September 30, 2025.

DFNN had no material commitments for capital expenditures as of September 30, 2025.

Other Current Assets consist mainly of intangible assets and project advances including rental deposits and other advances from affiliates.

Accounts payable and accrued expenses generally consist of trade payables, lease liabilities and accrued interest on unpaid payables.

Agreement with PCSO as Corporate Business Level 2. On November 8, 2024, DFNN received the signed agreement with the Philippine Charity Sweepstakes Office (PCSO) as a Corporate Business Level 2 Agent. This agreement enables DFNN to provide enhanced technological solutions to boost lotto sales, thereby increasing PCSO's charitable contributions.

Additional Private Placements for Future Capital Stock. The DFNN Board of Directors approved the issuance of 15,722,992 common shares at Php 2.8629 per share, raising Php 45,013,353.80, with 6,289,197 shares allocated to Nautilus International Management Corp. (NIMC) and 9,433,795 shares to Asia Defense and Armament Corporation (ADAC). Additionally, the Board approved a future private placement of 35,515,000 common shares, contingent on a capital stock increase, with 14,206,000 shares allocated to NIMC and 21,309,000 shares to ADAC. Proceeds from these placements will be used to settle debts, invest in the cybersecurity and AI sectors and/or develop new gaming platforms, and cover taxes and fees for the issuance and listing of the new shares. Management was authorized to set pricing and terms for the additional placement.

Other than those stated above, there were no significant changes or events that impacted DFNN's continuing operations.

To the best of the Company Management's knowledge, Management is not aware of any trend, demand, commitment, event or uncertainty that will have a material impact on the issuer's liquidity. Management is not aware of any event that may trigger any material direct or contingent financial obligation, including any default or acceleration of an obligation. Management is not aware of any material off-balance sheet transaction, arrangement, obligation (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period. Management is not aware of any trend, event or uncertainty that may have a material impact (favorable or unfavorable) on the Company's net sales/revenues/income from continuing operations. Management is not aware of any significant element of income or loss that did not arise from the Company's continuing operations.

Material Changes in the financial condition of DFNN

(September 30, 2025 vs. December 31, 2024)

Cash & Cash Equivalents. The increase in cash is mainly due to the cash collected from operations.

Receivables. The decrease in receivables is attributable to the decrease in the daily gross hold with the Gaming Sites as a results of gaming operations and advances made to affiliated companies.

Financial Assets at FVTPL. The account represents quoted equity securities purchased by iWave, IEST and LuckyU Inc.

Other Current Assets. The decrease in the balance of this account is due to the amortization of the prepaid expenses.

Property and Equipment. The increase in the balance was attributable to purchase of accounting software.

Goodwill and Intangible Assets. Intangible asset pertains to license acquired through business combination, software license and goodwill. The license represents contract with PAGCOR. The decrease was mainly due to the straight line amortization of the account.

Accounts Payable and Other Current Liabilities. Current liabilities increase due to the recognition of interest and penalties on loan.

SIGNATURES

Pursuant to the requirements of the Securities Regulations Act, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

For: **DFNN INC.**



Ramon C. Garcia Jr.
Chairman of the Board



Ricardo F. Banaag
President / Chief Executive Officer



Elisaire T. Lacson
Chief Financial Officer

Date: November 14, 2025

DFNN INC. And Subsidiaries

Consolidated Financial Statements as at December 31, 2024 and
Unaudited Quarters ended September 2025 and September 2024

DFNN INC. & SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(In Philippine Pesos)

	UNAUDITED September 30, 2025	AUDITED December 31, 2024
ASSETS		
Current Assets		
Cash	62,055,515	50,022,019
Receivables	629,975,402	795,047,525
Financial assets at fair value through profit or loss	25,275,332	14,207,532
Other current assets	107,102,025	107,327,495
Total Current Assets	824,408,274	966,604,571
Noncurrent Assets		
Goodwill and intangible assets	171,988,793	187,519,873
Financial Assets at FVOCI	173,363,953	214,868,035
Investment in associates	5,750,000	750,000
Property and equipment – net	41,701,822	39,912,733
Right of use of assets	211,997,850	178,712,941
Deferred tax assets	78,180,483	78,180,483
Other noncurrent assets	79,376,915	67,703,987
Total Noncurrent Assets	762,359,816	767,648,052
TOTAL ASSETS	1,586,768,090	1,734,252,623
TOTAL LIABILITIES AND EQUITY (CAPITAL DEFICIENCY)		
Current Liabilities		
Accounts payable and other current liabilities	1,546,197,931	1,472,512,271
Short-term loans payable	138,554,996	57,038,130
Current portion of lease liabilities	226,325,698	195,081,437
Current portion of loans payable	6,283,460	6,283,460
Total Current Liabilities	1,917,362,085	1,730,915,298
Noncurrent Liabilities		
Deferred tax liabilities	35,861,046	39,570,809
Deposits for future stock subscriptions	12,793,382	3,000,000
Retirement benefits liability	36,911,808	36,911,808
Loans payable	8,880,395	8,958,095
Lease liability - non current	200,762,147	184,398,452
Other noncurrent liabilities	3,709,452	3,709,452
Total Noncurrent Liabilities	298,918,230	276,548,616
Total Liabilities	2,216,280,315	2,007,463,914
Equity (Capital Deficiency)		
Equity attributable to equity holders of the Parent Company:		
Capital stock	425,766,892	384,277,008
Additional paid-in capital	308,416,836	279,126,473
Treasury Stock	(37,777,746)	(37,777,746)
Equity reserve	(49,230,618)	(49,230,618)
Stockoptions outstanding	36,233,922	36,233,922
Other comprehensive Income	35,716,794	77,898,893
Retained Earnings	(916,459,940)	(916,459,940)
Net Income (loss)	(374,325,190)	–
	(571,659,050)	(225,932,008)
Non-controlling interest	(57,853,175)	(47,279,283)
Total Equity	(629,512,225)	(273,211,291)
TOTAL LIABILITIES AND EQUITY	1,586,768,090	1,734,252,623

DFNN INC. & SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(In Philippine Pesos)

	For the 3 months		For the 9 months	
	July to September		January to September	
	2025	2024	2025	2024
REVENUE				
Commission Income	7,102,563	63,366,947	72,536,756	264,816,965
Service fees	17,953,275	76,600,229	82,341,199	196,115,280
Sale of goods	14,732,267	-	35,710,373	-
Rental income	5,131,034	4,015,288	15,264,812	12,040,245
	44,919,139	143,982,464	205,853,140	472,972,490
COST AND EXPENSES				
Service & other fees	35,293,599	28,563,697	139,093,431	265,852,191
Travels, transportation and logistics costs	11,155,313	57,621,428	44,089,297	181,355,486
Personnel	22,674,385	26,764,022	68,527,054	82,710,660
Rent and utilities	7,753,601	15,414,284	38,313,380	45,679,086
Others	57,293,191	95,628,453	173,313,707	208,289,122
INCOME(LOSS) BEFORE DEPRECIATION AND AMORTIZATION	(89,250,950)	(95,413,415)	(257,483,729)	(310,914,055)
DEPRECIATION AND AMORTIZATION	7,991,422	6,750,042	21,024,245	19,889,854
INCOME (LOSS) FROM OPERATIONS	(97,242,372)	(102,163,457)	(278,507,974)	(330,803,909)
Interest expense	(51,196,316)	(36,841,853)	(118,168,492)	(104,853,691)
Interest Income	3,683,919	3,426,077	10,564,955	10,464,778
Foreign exchange losses-net	34,124	32,600	(15,087)	27,382
Other income-net	2,754,941	1,059,788	(1,178,654)	2,285,110
INCOME (LOSS) BEFORE INCOME TAX	(141,965,704)	(119,082,848)	(387,305,252)	(422,880,330)
PROVISION FOR (BENEFIT FROM)				
INCOME TAX	(1,218,165)	(71,017)	(2,640,946)	599,230
NET INCOME (LOSS)	(140,747,539)	(119,011,831)	(384,664,306)	(423,479,557)
Other Comprehensive Income (Loss)				
Cumulative Translation Adjustment	(127,211)	(582,389)	(1,409,235)	(1,864,413)
TOTAL COMPREHENSIVE INCOME (LOSS)	(140,874,750)	(119,594,220)	(386,073,541)	(425,343,970)
Net Income (Loss) Attributable To:				
Equity Holders for the Parent Company	(135,613,345)	(112,429,874)	(374,325,191)	(408,432,699)
Non-Controlling Interests	(5,134,194)	(6,581,956)	(10,339,115)	(15,046,858)
	(140,747,539)	(119,011,831)	(384,664,306)	(423,479,557)
Comprehensive Income (Loss) Attributable To:				
Equity Holders for the Parent Company	(135,719,362)	(112,915,237)	(375,499,647)	(409,986,501)
Non-Controlling Interests	(5,155,388)	(6,678,982)	(10,573,894)	(15,357,469)
	(140,874,750)	(119,594,219)	(386,073,541)	(425,343,970)
Basic Earnings /(Loss) Per Share attributable to				
Equity holders of the Parent Company	(0.32)	(0.35)	(0.88)	(1.26)

DFNN INC. & SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(In Philippine Pesos)

	Capital Stock	Additional Paid-In Capital	Stock Options Outstanding	Equity Reserve	Other Comprehensive Income	(Deficit) Retained Earning	Treasury Stock	Non- Controlling Interest	Total
Balances at January 1, 2025	384,277,008	279,126,473	36,233,922	(49,230,618)	77,898,893	(916,459,940)	(37,777,746)	(47,279,283)	(273,211,291)
Translation Adjustment	–	–	–	–	(289,811)	–		(234,777)	(524,588)
Unrealized loss in FVOCI	–	–	–	–	(41,892,288)	–	–	–	(41,892,288)
Issuance of equity shares	41,489,884	29,290,362	–	–	–	–	–	–	70,780,246
Net Income for the period	–	–	–	–	–	(374,325,190)	–	(10,339,115)	(384,664,305)
Balances at September 30, 2025	425,766,892	308,416,836	36,233,922	(49,230,618)	35,716,794	(1,290,785,128)	(37,777,746)	(57,853,175)	(629,512,225)
Balances at January 1, 2024	324,620,008	158,780,407	36,233,922	(49,230,618)	116,492,923	(306,054,337)	(82,749,986)	(32,155,863)	165,936,456
Translation Adjustment	–	–	–	–	(1,553,802)	–		(310,609)	(1,864,411)
Acquisition of treasury shares	–	–	–	–	–	–	(13,232,007)		(13,232,007)
Valuation	–	–	–	–	(3,590,736)	–	–	–	(3,590,736)
Issuance of equity shares	59,657,000	120,346,065	–	–	–	–	–	–	180,003,065
Net Income for the period	–	–	–	–	–	(408,432,699)		(15,046,858)	(423,479,557)
Balances at September 30, 2024	384,277,008	279,126,472	36,233,922	(49,230,618)	111,348,384	(714,487,035)	(95,981,993)	(47,513,330)	(96,227,190)

DFNN INC. & SUBSIDIARIES**UNAUDITED CONSOLIDATED STATEMENTS OF CASHFLOWS**

(In Philippine Pesos)

	For the 9 Months Ended	
	September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income (loss)	(374,325,191)	(408,432,699)
Adjustments for:		
Depreciation and amortization	21,024,245	19,889,854
Interest Expense	118,168,492	104,853,691
Interest Income	(10,564,955)	(10,464,778)
Operating income (loss) before working capital changes	(245,697,409)	(294,153,932)
Decrease (increase) in:		
Receivables	173,358,251	137,955,568
Other current assets	225,469	24,213,483
(Decrease) increase in:		
Accounts payable and other current liabilities	14,994,507	13,626,019
Net cash from (used in) operations	(57,119,182)	(118,358,861)
Income taxes paid	(1,020,621)	(3,709,764)
Interest received	2,278,827	193,530
Net cash from (used In) operating activities	(55,860,975)	(121,875,095)
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property and equipment	(40,567,163)	(61,374,668)
Investment in associates	(5,000,000)	(3,320,000)
Increase in other noncurrent assets	(11,672,927)	15,622,889
Financial assets at FVOCI	(388,206)	38,527,917
Financial assets at FVPL	(11,067,800)	(44,111,130)
Net cash from (used in) investing activities	(68,696,096)	(54,654,991)
CASH FLOWS FROM FINANCING ACTIVITIES		
Acquisition of treasury stock	41,489,884	46,424,993
Issuance of equity shares	29,290,362	120,346,065
Changes in noncontrolling interest	(10,573,892)	(15,357,467)
Payments of loan and interest	76,384,213	(6,001,449)
Net cash from (used in) financing activities	136,590,567	145,412,142
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	12,033,496	(31,117,944)
CASH AND CASH EQUIVALENT AT BEGINNING OF YEAR	50,022,019	84,760,573
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	62,055,515	53,642,631

DFNN

Aging of Receivables

As of September 30, 2025

	Current	1-30	31-60	61-90	Over 90	TOTAL
Trade	31,452,661	37,739,258	8,392,543	106,537,904	91,776,829	275,899,195
Accrued Interest Receivable	–	857,384	857,384	857,384	111,370,481	113,942,631
Loans Receivable	5,425,353	–	847,412	2,987,891	43,267,633	52,528,288
Others	–	–	–	91,776,829	95,828,459	187,605,288
TOTAL	36,878,013	38,596,641	10,097,339	202,160,008	342,243,401	629,975,402